

Some investors prefer to calculate the breakeven margin by deducting selling costs from the gross profit to arrive at the gross profit per unit. This is done because selling costs are connected with sales and no selling expenses would be incurred if no sales are made. If, in the example of Kumar Wheels Ltd. stated above, selling expenses were 400, the breakeven margin would be calculated as:

$$\frac{1200 - 400 + 150}{2000 - 400 / 1000} = 593.7 \text{ units}$$

This is arguably a purer measure.

The breakeven margin is an important measure as it indicates exactly how many units need to be sold by a company before it can begin to make profit. This is an important management ratio, too, in decision making when alternatives are being considered.